

experience large reductions in their risk capacity as the value of their human capital declines. As a result, they are left with fewer options for responding to poor portfolio returns.

Risk capacity is the ability to endure a decline in portfolio value without experiencing a substantial decline in your standard of living. Prior to retirement, poor market returns might be counteracted with a small increase in the savings rate, a brief retirement delay, or even a slight increase in risk taking. Once retired, however, people can find it hard to return to the labor force and are more likely to live on fixed budgets.

2. Visible spending constraint

At one time, investments were a place for saving and accumulation, but retirees must try to create an income stream from their existing assets—an important constraint on their investment decisions. Taking distributions amplifies investment risks (market volatility, interest rate volatility, and credit risk) by increasing the importance of the order of investment returns in retirement.

It can be difficult to reduce spending in response to a poor market environment. Portfolio losses could have a more significant impact on standard of living after retirement, necessitating greater care and vigilance in response to portfolio volatility. Even a person with high risk tolerance (the ability to stomach market volatility comfortably) would be constrained by his or her risk capacity.

The traditional goal of wealth accumulation is generally to seek the highest returns possible in order to maximize wealth, subject to your risk tolerance. Taking on more risk before retirement can be justified, because many people have greater risk capacity at that time and can focus more on their risk tolerance. However, the investing problem fundamentally changes in retirement.

Investing during retirement is a rather different matter from investing for retirement, as retirees worry less about maximizing risk-adjusted returns and worry more about ensuring that their assets can support their spending goals for the remainder of their lives. After retiring, the fundamental objective for